

Instructor: Date:

Learner: Regional Branch:

Program: Center:

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Let's Start!

What It Takes to Negotiate Software License Agreements



Learning Outcome:

Understand information about people's backgrounds in spoken or written documents.

Participate in the improvement of IT contracts, establishing technical clauses that respond to the needs of the negotiating agents, based on current laws on contracting.

Ask your partner:

- What strategies or tips can you think of to successfully negotiate software license agreements?
- Is negotiating an initial license agreement as important as negotiating a contract renewal?

Can Do Statements:

- I can talk about the requirements to negotiate software license agreements.
- I can list some strategies and tips to negotiate software license agreements.
- I can discuss characteristics for strategies and tips to negotiate software license agreements.



Let's Explore!

Some Strategies and Tips to Negotiate Software License Agreements



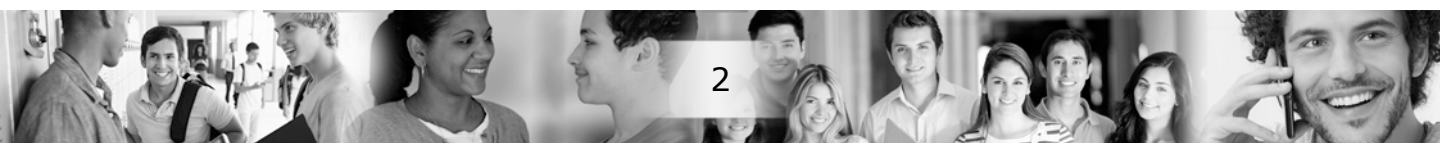
Instructions: Read the text below.

A software license negotiation implies establishing an association between the licensor and the licensee to allow the customer to use the vendor's software. It is a complex process that requires both parties to make evident planning, communication, organization, patience, compromise, and flexibility.

Negotiators might want to consider some strategies and tips, not only prior signing the contract, but also at the moment of future revisions or contract renewal. First, you cannot forget the specific needs of the end-users. It is critical that you have in mind the original business goal throughout the negotiation. Some critical terms such as maintenance and support, permissions to source code, and the description of authorized users might be critical to the company.

Second, let the experts get involved in the negotiation. Not only an IT expert is an important asset, but also an attorney with experience in licensing terms would be of a great help. This expert can assist to settle the best licensing terms by identifying intellectual property when applied.

Third, don't avoid establishing the roles played by the people involved. No matter whether the voice of your company is an attorney or an IT expert, you must make sure that the roles are clearly appointed to each participant before negotiations start. Finally, try to go in pursuit of the control of the negotiation, and consider mandating the general rules for discussions. However, it is also advisable to admit acknowledging the bargaining position of both parties. This process of interaction, however, might depend on the specific personalities of the negotiators, and how flexible the bargaining position of each party is.





Let's Practice!

Milena lists some strategies to negotiate software license agreements.

Instructions: Complete the sentence by selecting the correct answer.

1. It is relevant that negotiators (*try to have / try to take / try to do*) in mind the original business goal throughout the negotiation.
2. Negotiators (*start to think / start to get / start to evaluate*) the desired goals in order to plan and discuss possible future errors.
3. Experts (*decided to get / decided to involve / decided to lay off*) IT professionals as an important part when negotiating software license agreements.
4. (*Remember to make / remember to do / remember to invent*) sure that business people get involved.
5. IT professionals (*assist to settle / assist to put out of tone / assist to complicate*) the best licensing terms by identifying intellectual property when applied.



Let's Practice!

My classmate talks about strategies and tips to negotiate software license agreements.

Instructions: Select the correct answer.

1. I want _____ that it is a necessary tool to make users' life easier.
a. to say b. saying c. says d. said
2. It is an essential tool _____ risks in terms of information management in any business.
a. reduces b. reduced c. to reduce d. reducing
3. Negotiators concentrate on _____ tips and strategies as a set of tools in order _____ the negotiation of software license agreements.
a. to have- controlling b. having- controlling c. to have-to control
d. having- to control
4. They admit _____ strategies and tips _____ when they notice the other part is imposing rules during the process.
a. Including- negotiating b. To include- to negotiate c. To include- negotiating
d. Including- to negotiate
5. IT experts enjoy _____ the negotiations with strategies and tips that enrich the negotiation. This process depends on the agreements.
a. handling b. handle c. to handle d. handled



Extension Activity

Let's write a summary about requirements to negotiate software license agreements.

Instructions: Complete the following steps. Fill in the Self-Assessment.

- Search information about the requirements to negotiate software license agreements.
- Write ideas that you consider relevant to define the requirements to negotiate software license agreements.
- Write a summary including the main ideas about the requirements to negotiate software license agreements.
- Proofread your summary before handing in it.
- Have a classmate to read your summary.
- Taking into account your classmate's remarks correct your summary.

Self-Assessment

	Yes	No
1. I search information about the requirements to negotiate software license agreements.	☐	☐
2. I write some relevant ideas related to the requirements to negotiate software license agreements.	☐	☐
3. I write a summary including the main ideas about requirements to negotiate software license agreements.	☐	☐
4. I proofread my text before handing in it.	☐	☐
5. I have a classmate to read my summary.	☐	☐
6. I take into account my classmate's remarks to improve my summary.	☐	☐



Target Words

- **renewal** (noun): the extension that is made to an agreement.
e.g. Negotiators might want to consider some strategies and tips, not only prior signing the contract, but also at the moment of future revisions or contract renewal.
- **asset** (noun): something valuable that gives an advantage.
e.g. Not only an IT expert is an important asset, but also an attorney with experience in licensing terms would be of a great help.
- **bargaining** (noun): a discussion between parties involved in a negotiation in order to reach an agreement.
e.g. This process of interaction, however, might depend on the specific personalities of the negotiators, and how flexible the bargaining position of each party is.
- **licensor** (noun): the party in a negotiation process that grants a license.
e.g. A software license negotiation implies establishing an association between the licensor and the licensee to allow the customer to use the vendor's software.
- **appointed** (adjective): selected to do a specific job.
e.g. You must make sure that the roles are clearly appointed to each participant before negotiations start.
- **prior** (adverb): before.
e.g. Negotiators might want to consider some strategies and tips, not only prior signing the contract, but also at the moment of future revisions or contract renewal.



Learning Points

Verb + ing and to + Verb in Affirmative Statements

Some verbs are followed specifically by **-ing** or **infinitive forms** of the verbs.

Below, you can find some common verbs that are followed by **-ing** forms:

• Avoid • Consider • Imply • Admit	-ing
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Example:

A contract negotiation **implies acknowledging** both parts are looking for an advantage.

The following is a list of common verbs that are followed by the **infinitive form** of the verb:

• Decide • Try • Assist • Determine • Want	to verb
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Example:

An attorney with experience in licensing terms **tries to settle** the best deal for the company.

Examples

- A software license negotiation **implies establishing** an association between the licensor and the licensee to allow the customer to use the vendor's software.
- This expert can **assist to settle** the best licensing terms by identifying intellectual property when applied.
- Finally, try to **go in pursuit of** the control of the negotiation, and consider **mandating** the general rules for discussions.





Learning Points

Other Tips for Negotiating Software License Agreements

When negotiating software license agreements, you can follow these other recommendations for a successful agreement:

Make a list of non-negotiable terms:

It will be useful to establish a list of terms that are non-negotiable. Although it would be made to look for a level of consistency, this list is intended to be flexible and will need to be updated as the negotiation process moves on.

Contingency plan:

Both parties need to consider including terms that deal with possible future negative scenarios.

Intellectual property:

Conduct due diligence confirming the information regarding intellectual property provided by the vendor. It is necessary to confirm that the intellectual property is owned, and that it would not be subject to third-party claims.